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BUSINESS • RETAIL

He Earns \$33 an Hour as a Costco Cashier. Now He's a Millionaire.

Long-tenured workers like cashier Tony Barzar are reliable, experienced and able to speed shoppers through a checkout line. Costco is willing to pay to keep them around.



Tony Barzar has worked at Costco for four decades.

By Sarah Nassauer | Photography by Matt Martian for WSJ
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TUCSON, Ariz.—Costco COST -0.65% ▼ cashier Tony Barzar unloaded his lunch in the breakroom, clocked in and headed for the checkout, just as he has for much of the past four decades.

That day, like most days, 60-year-old Barzar was assigned to the self-checkout area, a cluster of six registers. At 9:02 a.m., the first shoppers were ready to ring themselves up.

“Right here, ma’am!” Barzar said, gesturing for a customer in line to move to an open register. “How ya doing today, sir? Find everything alright?” he said to another as he circled the registers with a scanning gun.

Long-tenured workers like Barzar are Costco’s secret weapon. They are reliable and experienced, able to speed shoppers through a checkout line and serve as mentors to newer workers, passing down the company’s unique culture, Costco executives say.

Barzar’s pay and benefits reflect his value to the company. He earns \$32.90 an hour, and the holdings in his 401(k) have boosted his retirement savings to over \$1 million, he said. His Costco-sponsored healthcare has a regular visit co-pay of \$15, and a specialty visit co-pay of \$25, well below the national average. In 2009, Barzar’s family bought a three-bedroom, two-bath house with a pool, and they have been able to travel to Europe twice over the past decade.





Costco regards long-tenured employees like Barzar as essential in passing down the company's unique culture.

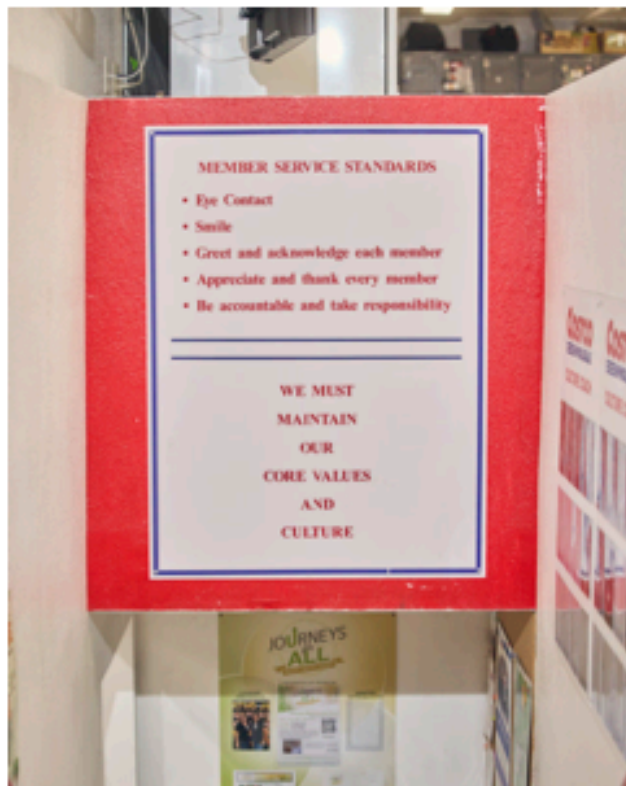
As a younger person, "I didn't think me and my family would reach where we sit now," he said. "I could retire, but what would I do? Costco has been good to me."

Costco has long paid more than most U.S. retailers to help keep turnover low, a strategy the company's founders believed would reduce costs associated with training new hires and lead to better customer service. Turnover after one year of employment at Costco is around 7%, a fraction of industry averages.

Research generally supports the idea that happy employees stay longer and lead to happier customers. In one 2023 study, consulting firm McKinsey looked at online reviews of over 100 retailers by both customers and employees. Retailers with the top 25% highest employee-satisfaction scores were more than twice as likely to fall in the top 25% of customer-satisfaction scores, the firm said.

"The happiest workers can engender similar emotions in their customers, but they are also better at their jobs," said the report. McKinsey also estimated that losing a front-line retail employee costs an average of \$10,000 per worker.

In recent years, many Costco stores have created the role of "culture coach" for long-tenured hourly workers like Barzar to act as official mentors even if they aren't supervisors—an effort to more explicitly use their knowledge to train new workers. It has also boosted the maximum pay hourly workers can earn from \$31.90 to \$32.90, increased its annual bonus and added an extra week of vacation for workers who have been with the company at least 30 years.



A sign reminds Costco workers of the retailer's 'member service standards.'

Costco's effort to keep hourly workers longer, even those, like Barzar, who don't want to be promoted, is counter to how many employers view their workforce. Long-tenured employees are typically more expensive, and those who aren't interested in promotions are sometimes seen as less valuable to an organization.

While the generosity attracts workers, it also leads some to retire earlier than Costco would like, leaning on their significant savings.

"It's great for them, but we'd like to keep them," said Travis Maze, who has been general manager of the Tucson warehouse for eight years. When a long-term employee leaves, the average wage paid to his 380 Tucson employees goes down, which helps profits, "but it comes at the expense of experience," he said.

"The more new employees, the more dilution there is to our core culture."

"Many thousands" of Costco's U.S. hourly workers have over \$1 million in their 401(k) accounts, said Gary Millerchip, the retailer's chief financial officer. The company's investments in workers means that they stay for a long time, then ultimately retire, but "you have a pipeline of employees coming behind that group that also are building that level of experience," he said. It's also cheaper long term, he added.

Costco's annual sales have grown for nearly two decades. Its stock has increased over 2,000% during that time, from a low of about \$40 a share in the wake of the 2008 recession to around \$953 on Wednesday.



Barzar's career reflects Costco's approach to retaining workers.

Costco trains managers to view cashiers as specialists, experienced employees who can make or break a member's experience by speeding lines and offering friendly conversation—or not. The fastest traditional cashiers check out around 70 shoppers per hour. The average is about 57 per hour. Self checkouts are slower, according to Costco's internal data, but some customers prefer them, said workers and executives.

Barzar's career at Costco reflects the retailer's approach to retention. After a brief stint in community college, then at a local grocery store, a friend said Price Club—a precursor to Costco—was a good place to work. Barzar applied for a job gathering carts in the parking lot of the Tucson store in 1986. He earned \$5.85 an hour, up from around \$3.00 at the grocery store, he said.

Price Club was one of the original membership warehouse concepts founded by retail legend Sol Price. Costco bought the chain in 1993, and transitioned its pension plan to a 401(k). Barzar started to put a small amount of his paycheck into the account administered by T. Rowe Price, he said.

After a few years, Barzar asked to move inside to cooler conditions. He became an early-morning stocker, unloading trucks and stamping boxes with a label gun. Five years later, “the mornings were getting to me,” said Barzar. He’d had his first child and craved a more regular schedule. He worked counting and greeting shoppers entering the front door, then was given a role as a cashier. His hourly pay moved to about \$10 an hour.

That job stuck. He enjoyed handling the money and talking to customers.

Barzar considered other jobs. In his 20s, he applied to become a firefighter several times, following in an older brother’s footsteps, but couldn’t pass the entrance exam, he said. That disappointment was countered by Costco’s growth at the time. “It just gave me a sense of—don’t leave, ride this one out,” he said.

He also stayed because of the pay and benefits, he said. That became acute early last year when his son-in-law ended his life, then months later his wife of 26 years, a former Costco employee in the bakery department, was diagnosed with stage 3 brain cancer. His Costco health insurance covered the full cost of his wife’s three brain surgeries. Barzar took paid leave for nearly a year to help his family. He also used the retailer’s therapy benefits to cope, he said, which further drove home how comprehensive the insurance was.





Costco executives believe low staff turnover helps to reduce costs associated with training new workers and leads to better customer service.

“You don’t have any idea how deep it goes until something tragic happens,” he said.

He returned to work part-time earlier this year without a pay cut.

Barzar makes a good self-checkout employee because he is outgoing, attentive to detail and his voice carries, said Erik Fila, a register-area supervisor.

About every 30 minutes, front-end supervisors like Fila get a count of how many member cards have been scanned at the entrance, a gauge of how many shoppers will show up at registers about a half-hour later.

As of 9:30 a.m., 157 member cards had been scanned. By 10 a.m., the count was 337 cards.

Barzar put his comfortable black Hoka sneakers to good use as he rapidly circled the bank of self-checkout registers with a scanner gun in hand.

When one shopper accidentally scanned a bulk package of cookies twice, Barzar leads her to member services to refund the charge to her credit card. Another self-checkout worker, Eddie Lopez, who started at the store one year after Barzar, steps away from self-checkout to help track down a brand of out-of-stock eye drops for a shopper with one of the front end computers.

“More are coming in today,” Lopez said.



Barzar greeting a longtime customer whom he has known for 20 years.

Several longtime shoppers greet Barzar like an old friend. “I came to get my hug,” said a shopper who gives him one.

“How ya doing?” Barzar asked one man as he struggles with his bulky items. “Horrible, I just want to get home,” he said, sharing that he is healing after a medical procedure. Barzar helps him scan his items and offers condolences. The registers hum with a steady din of beeps and automated “please begin scanning” messages.

Barzar has been asked to become a supervisor but has declined. He likes the direct contact he has with shoppers as a cashier and feels he can act as an effective mentor to other employees, in part because he isn’t their boss. “I would say this is my calling, right where I’m at,” he said.

Watch: He Started Out Driving Forklifts. Now He’s Costco’s CEO.

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